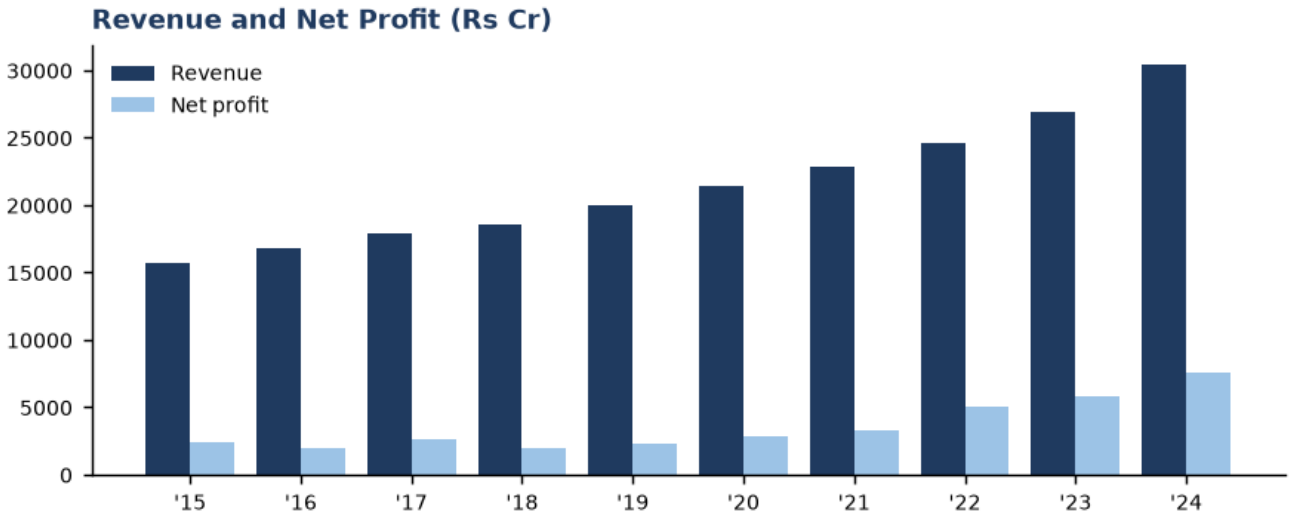
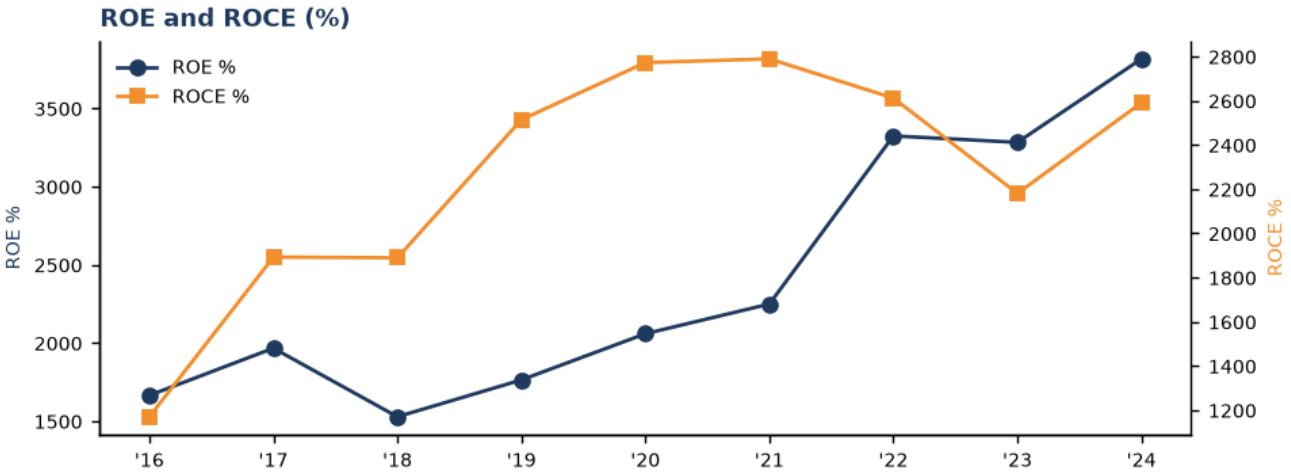
Hindustan Aeronautics Ltd

HAL | Industrials | Defence & Aerospace | Latest financial year: 2024-03

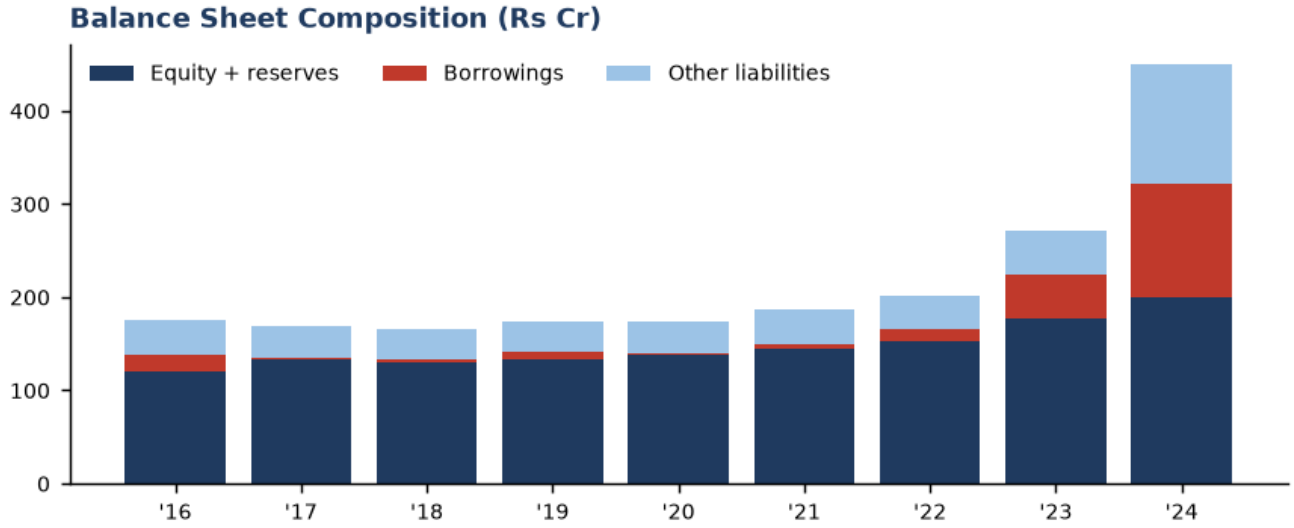
ROE **3,816.6%**	ROCE **2,591.0%**	Net profit margin **25.0%**
Debt / equity **0.62**	Revenue CAGR 5yr **8.7%**	Free cash flow (Rs Cr) **1,814**

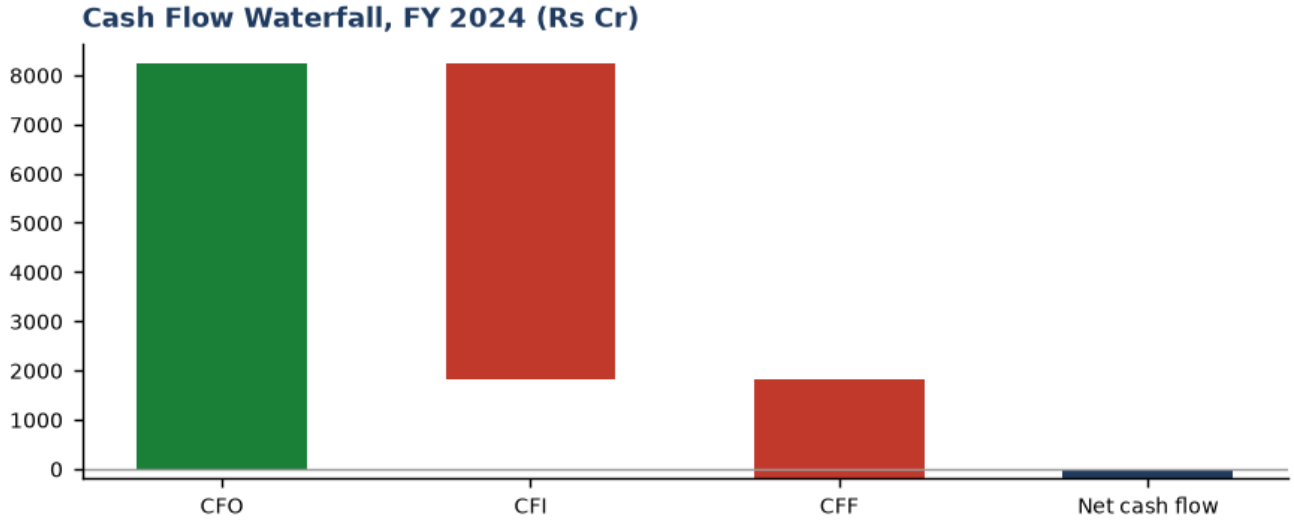




Hindustan Aeronautics Ltd

HAL | Balance sheet, cash flow and qualitative view





Key strengths and concerns (auto-generated, with confidence)

Pros

- Consistently high return on equity above 20% demonstrates exceptional capital efficiency (100%)
- Very high interest coverage ratio reflects negligible financial stress from debt servicing (100%)
- Revenue growing slower than profits shows improving operating leverage and scale benefits (100%)
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding (91%)
- Consistent dividend yield above 2% backed by positive free cash flow (75%)

Cons

- Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk (83%)

Capital allocation: Shareholder Returns

Pros and cons are generated from KPI threshold rules and are not investment advice. Ratios use annual filings; market data is simulated.